



Emergency Filing Extract  
+HarborPoint Exposure Note

18 September 2008

PHASE

Crash & reveal

DOCUMENT TYPE

Emergency filing extract

DIRECT EXPOSURE

\$4m Landon bonds

BROADER LINKS

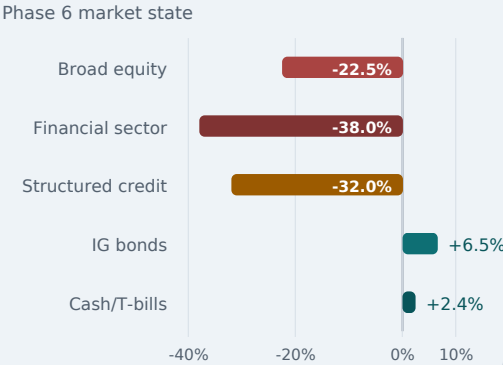
\$68m networked links

Filing event summary

COURT PROTECTION

- 1
- Weekend rescue talks failed after counterparties refused to roll short-term funding.
- 2
- Clearing banks requested additional collateral before Monday open.
- 3
- Several structured credit desks suspended normal bid indications.
- 4
- Landon Brothers filed for court protection Monday morning.

Market tape - YTD



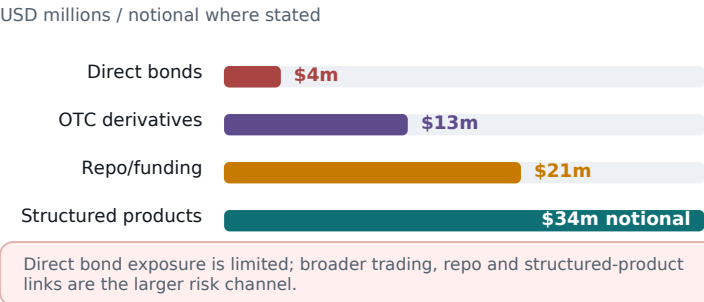
2. Weekend-to-Monday chronology



3. HarborPoint exposure to Landon-linked positions

| Exposure                                    | Amount         | Channel | Immediate read-through                |
|---------------------------------------------|----------------|---------|---------------------------------------|
| Direct Landon bonds                         | \$4m           | Direct  | Limited direct bond exposure          |
| OTC derivative exposure                     | \$13m          | Trading | Counterparty mark and settlement risk |
| Repo/funding dependency through Landon desk | \$21m          | Funding | Roll and collateral disruption        |
| Landon-arranged structured products         | \$34m notional | Product | Quote reliability and dealer pullback |

4. Exposure mix view



Immediate read-across

The event is not limited to one failed bond position. Trading, repo and product links can turn institution-specific distress into broader liquidity and counterparty pressure.

FUNDING FREEZE



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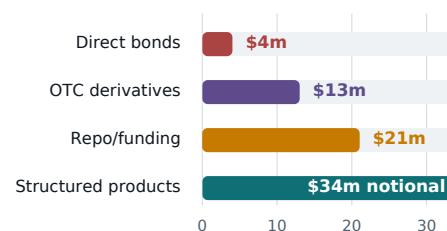
## 4. Exposure channel map

Landon exposure is more networked than direct bond loss alone



## 6. Direct vs broader exposure bridge

USD millions / notional where stated



Broader links total \$68m versus \$4m direct bond exposure.

## 5. Immediate market effect

- 1 Dealer balance sheets**  
pulled back from complex credit risk
- 2 Indicative quotes**  
no longer reliable for several complex positions
- 3 No firm bid**  
increasingly common in stressed credit



### Quote reliability

Dealer balance sheets have pulled back. Indicative quotes should not be treated as cash for several complex credit positions.



### Counterparty lens

The larger risk channel is broader exposure through trading, repo and structured products rather than direct bonds alone.

## Internal note

Direct bond exposure is limited, but trading, repo, and structured-product links create broader liquidity and counterparty exposure.

■ Direct   ■ Trading   ■ Repo   ■ Structured products



## Evidence use

This extract separates limited direct bond exposure from the wider funding and counterparty network connected to Landon Brothers. Model marks and old indications may not convert into executable liquidity today.